Amazon.com, Inc.

AMZN NASDAQ

Buy	$254.09 ▼ 1.74%	12M Price Target $310.00	52-Week Range $196.00 – $287.20	Market Cap $2.74T

AMZN: Pullback Looks Like Noise, Not a Trend Change

WHAT HAPPENED

- AMZN is down ~1.7% today on light volume (15M vs 30M+ earlier this week) — that's a tell. Light-volume selloffs usually mean nobody's panicking, just a few sellers trimming. No news, no filings, nothing specific — this is just profit-taking after the stock ripped from $254 to $262 last Thursday.
- The options tape is interesting though — someone bought 21,000 of the $257.5 puts expiring this month (6x the normal open interest). That's $6M bet on more downside into Oct expiration. Could be a hedge, could be a directional bet before earnings season.

WHY IT MATTERS

Here's what I think is really happening: money rotated OUT of mega-cap tech today and INTO Healthcare (+2.1%) and Consumer Staples (+1.5%) — classic defensive rotation. That usually happens when the market gets nervous about macro (rates, geopolitics, or earnings risk). AMZN isn't being singled out, it's just caught in the "sell what worked" trade. The bigger picture: with Q3 earnings coming up in a couple weeks, this is probably positioning — big funds de-risking before the print rather than any fundamental concern about the business. If AWS prints another 19%+ growth quarter, this dip gets bought aggressively.

POLICY & POLITICAL WATCH

Two things to watch: (1) The FTC antitrust trial against Amazon is grinding through court — any signal that a structural breakup is OFF the table is a huge unlock, and consensus is leaning that way. (2) Federal AI infrastructure spending — the Trump administration's AI Action Plan and the ongoing CHIPS/AI appropriations keep steering cloud dollars to the big three (AWS, Azure, Google Cloud), and AWS just won a $10B+ NSA ceiling contract last year that keeps delivering. On tariffs: Amazon's 1P (first-party retail) is exposed to China sourcing, but 60%+ of operating profit now comes from AWS + ads, so tariff headlines hurt the stock emotionally more than financially.

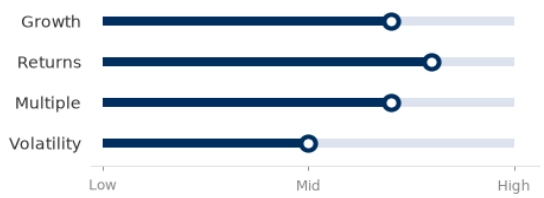
IS IT EXPENSIVE?

At $254, AMZN trades around 37x forward earnings — meaning you're paying $37 for every $1 of profit the company's expected to make next year. That sounds expensive, but AWS alone is growing ~19% with 35%+ margins, and the ads business (now ~$60B run-rate) is almost pure profit. Strip those out and the retail business is basically free. Fair, not cheap — but justified if AWS re-accelerates on AI workloads.

WHAT COULD GO WRONG

Key Data	
Price (USD)	**$254.09**
12M Price Target	**$310.00**
Upside / (Downside)	**+22.0%**
Market Cap	**$2.74T**
FY2026E Revenue	**$718M**
FY2027E Revenue	**$790M**
FY2026E EPS	**$6.85**
FY2027E EPS	**$8.20**
Fwd P/E	**37.1x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

AMZN — Amazon.com, Inc. | October 14, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$275.00**	$260.00	**$240.00**
6 Months	**$300.00**	$275.00	**$230.00**
1 Year	**$340.00**	$310.00	**$220.00**
2 Years	**$400.00**	$350.00	**$230.00**
5 Years	**$550.00**	$450.00	**$260.00**
10 Years	**$900.00**	$650.00	**$300.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+2.1%) and Consumer Staples (+1.5%) — classic "risk-off" defensives catching a bid, probably on macro jitters or GLP-1/pharma-specific catalysts. Energy (+6.6% over 5 days) is ripping on geopolitical premium.

COOLING OFF: Real Estate (-0.6%) and Materials (-0.5%) — rate-sensitive and cyclical names losing steam, which tells me the bond market is pricing in "higher for longer" again.

ROTATION WATCH: Money is leaving mega-cap tech momentum names TODAY and moving to defensives — but this is a one-day move, not a trend yet. If it continues through the week, AMZN could see $245 before it sees $270.

RELATED PLAY: If you believe the AI capex cycle continues, the picks-and-shovels names (NVDA, VRT for cooling, data center REITs like EQIX) benefit regardless of which cloud wins.

WHO'S WINNING IN THIS SPACE?

- LLY (Eli Lilly): Healthcare leader riding GLP-1 demand + any policy tailwind on Medicare drug pricing clarity.
- XOM (Exxon): Energy complex is the 5-day winner on geopolitical premium and tight supply.

AMZN CONTEXT: AMZN is lagging mega-cap peers today but leading over the past month — this looks like healthy consolidation, not a change in trend. As long as it holds $250, the uptrend is intact.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup into earnings but I'm not pounding the table at $254 after a run from $196.

POSITION SIZE: 4-6% of portfolio — this is a core holding, not a trade. Big enough to matter, small enough to add on dips.

ENTRY POINTS: I'd scale in at $245-252. If we get a macro flush to $230, back up the truck.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is Q3 earnings (late Oct) and AWS reacceleration confirmation.

WHEN TO BAIL: AWS growth under 15% YoY, or FTC wins any structural remedy (forced divestiture of AWS or Marketplace). Either = thesis broken.

HEDGING: Simplest hedge — buy a put option a month or two out at $240. Think of it like insurance: costs a small premium, pays off big if the stock craters. Or just keep 20% cash so you can average down if we get a flush.

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